

UNIT -1

Communication in Business

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To live is to communicate. Every facet of existence needs communication. Business being one of the facets of human existence requires communication. The term 'communication' comes from the Latin word *communicare*, which means 'to impart' or 'participate'. During the course of participation it becomes necessary to receive as well as to give. This process of participation can form as talking, writing, interacting, etc. All of this means communication. The business world today has become global, which makes communication even more complex. Communicating across borders and cultures requires communication skills that would enable people from different lands to interact with each other so as to achieve some common objective. As soon as you move one step from the bottom your effectiveness depends on your ability to reach others through the spoken or the written word. And the further away your job is from manual work the larger the organization of which you are an employee the more important it will be that you know how to convey your thoughts in writing or speaking.

Dimensions of Communication

Communication has five dimensions. They are as follows.

Communication can be International or Unintentional: words are used to express ideas and are intended to have a particular meaning. Sometimes these words communicate something other than what is intended – they have an unintentional meaning.

Communication can be Verbal or Nonverbal: Human communication is often more nonverbal, involving the body and other objects and actions than verbal, involving words alone. Even when we do not speak the way we walk stand and sit communicates a message to others. Other forms of nonverbal communication include letter, memos, arrangement of office furniture and style and condition of clothing.

Communication can be Internal or External: Internal or intrapersonal communication is the way we talk to ourselves i.e. without putting thoughts into words. Non verbal objects that are chosen to express something are also considered to be external communication.

Communication can be involve Humans, Machines or Animals: Communication obviously involves machines – for example, computers. Humans use computers to improve communication between them. We also need to learn how animals communicate, because the nonverbal behavior of human and animals is quite similar.

Communication can take place between Two people as well as within Group: A conversation between two people is called in interpersonal communication. Communication within a group is

classified as either small communication or mass communication.

Importance of Business Communication

Communication is so important in business organizations want and need people with good communication skills. Several surveys have indicated that communication is important to business. Unfortunately the need for employees with good communication skills is often not fulfilled in the business world. A recent study also indicates that there is a correlation between communication and income. Good writing and speaking skills, along with proper etiquettes and listening skills - determines career success. In other words having good communication skills would result in advancement of career. The use of technology in communication makes the skills to communicate more obvious. Over the year many authors have recognized the importance of communication in an organization. Chester Branard for instance viewed communication as the means by which people are linked together in an organization to achieve a common purpose. Mintzberg also found that managers considered activities involving direct communication with others to be more interesting and valuable than more activates. Developing communication skills amounts to developing visual skills, written skills, spoken skills and reading skills.

Management's view of Communication		
Year	Person	Observation
1916	Fayol	Managerial work is a set of composite functions that includes communication.
1930s	Gulick	Management has seven functional areas, including directing and reporting (which included communication)
1938	Brainerd	The first executive function is providing a system of communication.
1957	Simon	The administrative process cannot influence the decisions of the individual without communication.
1966	Katz & Kahn	The exchange of information and transmission of meaning are the very essence of an organization.
1973	Mintzberg	Managerial jobs have ten working roles; communication and interpersonal relations are found in three of the roles.
1974	Drucker	Communication is one of five basic management functions.
1982	Peters & Waterman	Open, informal communication is one of eight characteristics of the best-run American companies.
1983	Kanter	The most common roadblock for managers to overcome is poor communication.
19	Blanchard	Communication is a basic skill for the

91	hard	effective one-minute manager.
19	Gates	Communication is the new revolution; the
95		information superhighway is part of it.

Objective of Business Communication

The basic objective of all human communication is to obtain an understanding response. Every large and small business house is successful or unsuccessful, depending on how well it can communicate internally and externally. Peter Ducker states: "Objectives survival and prosperity of a business."

Information: The objective of business is to inform which means to transfer knowledge to another person or group. Information can be given in writing, speaking or any other system of signals or signs. Businessmen thrive on information relevant to their business activities. They must know how their competitors are doing in business what are the terms of credit available in the market how to deal with government rules and regulations.

Information for planning can be of five kinds:

- a) **Environmental Information:** Information pertaining to the geography, climate, political and social-economic condition.
- b) **Internal Information:** Information about the strength and weakness of the company with respect

to capital, production, and sales capacity, degree of training of the workers, their efficiency etc.

- c) **External Information:** Information about sources of credit availability of raw material, power and the latest rules and regulations made by the government or local authorities.
- d) **Competitive Information:** Information relating to the strength and weakness of the competitors and their past and present performance in the market.
- e) **New Development Information:** Information concerning the latest research, up gradation of the product and availability of raw material or substitutes.

Before accepting any information the successful business house will ensure that the information is reliable, complete and recent. Businessmen have no difficulty in obtaining information from old files, magazines, internet, library research, chamber of commerce, trade fairs and exhibitions etc. the problem is not lack of information but of immense quantity of information. To help the businessmen out of this problem a number of organizations have taken the role of infomediaries. Infomediaries are like intermediaries or middlemen only they do not deal with goods but with information. They perform variety of functions like delivering select

information, bringing together scattered professionals, maintaining statistical data on economy, industry, commerce, commodities, demographics, stocks, mutual funds, finance and investments.

Business organization also needs to communicate information internally to its workers such as:

- i. Information relating to job assignment and procedures governing them.
- ii. Information concerning exact designations of the officers and their decision making power.
- iii. Information, which gives a clear understanding of authority.
- iv. Information which will possible better reception of instruction.

Motivation: To motivate means “To cause to act”. It has been defined as “that inner state that energizes, activities, or moves and which directs or channels behavior towards certain goals. In an organization when workers are motivated they work eagerly, willingly and often without supervision. Organization use communication process to overcome motivation problem. Following aspects of the problem of motivation could be considered:

- a) **Emotional Climate:** The management should use communication is such a manner that the right emotional climate for motivation is created. This can be done by fostering healthy competition among

workers and also by recognizing and giving publicity to achievement.

- b) **Setting Goals or Objectives:** Set Definite objective before the workers as that they know what they are working towards and they can enjoy a sense of satisfaction when objective has been attained.
- c) **Organizational Information:** With the help of house journals, direct talks or training programmes the management should give much information to the employees as possible about the organization for which they are working.
- d) **Participation in Decision-making:** When subordinates are encouraged to report directly to their superiors or give suggestions to improve the working of the organization they will experience a powerful sense of belonging to the organization.
- e) **Establishing Human Relations:** When supervisory and junior staff can meet in an atmosphere of informality and exchange views when supervisory staff uses tact in communicating orders, admonitions and warnings to the juniors' staff and when the staff is encouraged to think out and take the initiative in minor matters.

Raising Morals: In war it is not the number of soldiers that matters, but their morale that makes the big difference between losing and winning. In a business organization the moral of the workers can seriously affect the success of the business. One of the objectives of communication (internal) is to keep the morale of the workers high so that they work with vigour and confidence as a team. Low morale is often the result of lack of confidence in the management on account of its poor communication skills. The usual characteristics of low morale are lack of discipline, no appreciation or reward for good work well done, bad relations between the supervisors and the workers and sometimes among the workers themselves.

It is like a disease that requires immediate attention and diagnosis and cure. Management can keep high morale through communication by:

- a) Maintaining a steady stream of communication between workers, their supervisors and top executives.
- b) Permitting open discussion of problems affecting the workers and their families.
- c) Employing communication devices such as employees' conferences, audio-visual aid, employee-get-togethers etc.
- d) Keeping a watch on the grapevine and not allowing harmful rumors to circulate.

- e) Stopping false rumors about favoritism, strikes, retrenchment or lock outs.
- f) Giving fair hearing to employee grievances and accepting their suggestions thereby giving them a sense of participation in management.
- g) Expressing appreciation for good work done and rewarding it.
- h) Introducing changes gradually so that the workers are not mentally upsets by sudden and abrupt changes in staff or working conditions.

Since morale is like a barometer, which indicates the well being of an organization some business houses study morale periodically. This is done by:

- a) Information meetings at which the workers are encouraged to speak freely.
- b) Collecting information through the different channels.
- c) Circulating specially prepared questionnaires.

Order and Instruction: An order is an oral or written communication directing the starting, terminating or modifying of an activity. It is a form of communication by which management directs its subordinates and employees and seeks to achieve its objectives. Before issuing an order there should be proper planning by the order issuing person. Order may be oral or written.

Written orders are given the nature of the work is vary important or when the person being ordered is far away. Oral orders are given when the work is of an urgent nature or when the person being given the oral order is nearby.

Instructions: Instructions are oral or written orders on a recommended manner in which the work is to be done. For instance the office superintendent will instruct a new clerk on the manner in which letter are to be filed and the manners in which the outgoing mail is to entered in the register. The instruction carries and implied order- i.e. the clerk is expected to follow that particular method of doing the assigned work and no other method.

Education and Training: Communication in business can be used to widen the ever-winding circle of knowledge. Process of education that takes place in the business world is a part of its activity.

- **Education for Succession:** This means training junior persons in the organization to handle important assignment involving responsibility so that they are trained to success their seniors in executive and managerial positions. These trainees may not go through a formal course in staff training buy may be opportunities to work in different departments under the guidance of senior executive.

- **Education for Promotion:** It has been found that most senior managers are behind the times. They employ management techniques and control systems that are outdated. Seniority is an important factor in promotion. However if the seniors are not competent than their promotion is in questions. To overcome this problem it is necessary for these seniors to undergo special training.
- **Education During Induction:** When new personal join an organization they are inducted by educating them in the culture of the company, code of discipline and methods of manufacturing etc. This is done through training programme of orientation programme.
- **Educating the Public:** Educating the outside public usually takes the form of advertising, informative talks, publication in newspaper and journals. This is done to inform general public as well as the professional about the product.

Besides these objective there are other objectives of business communication such as:

- a) Counseling
- b) Advise
- c) Persuasion
- d) Altering Behaviour
- e) Effective Change
- f) Promoting the Image of Company
- g) Increasing Productivity

- h) Establishing Better Relations
- i) Influencing Potential Customer

Forms and functions of Communication

The importance of communication in business becomes more obvious when we consider the communication activities that go on in an organization. Communication in an organization takes three main forms. They are:

- Internal - Operational Communication
- External- Operational Communication
- Personal Communication

Internal - Operational Communication: All the communication takes place within the organization, during the process of work, is known as internal - operational communication. This is the form of communication among the employee that is done during the implementation of the business -operation plan. Internal-operational communication takes many forms. It includes the orders and instructions that supervisors give workers as well as oral exchange among workers about work matters. It includes report that workers prepare concerning sales, production, inventories, finance, maintenance and so on. It also includes E-mail messages that workers write in order to carry out their assignments. Internal-operational communication is especially needed to:

- (a) Establish and disseminate goals of an organization.
- (b) Develop plans for their achievement and control performance.
- (c) Organize human and other resources in the most effective and efficient way.
- (d) Select, develop, and appraise members of the organization.
- (e) Lead, direct, motivate, and create a climate in which people want to contribute.

External - Operational Communication: The work related communication that a business does with people and groups outside the organization is external-operational communication. This is a communication activity of a business with its public - i.e. suppliers, customer, service companies, stockholders, government and the general public. External - operational communication includes all the efforts of business in direct selling such as descriptive brochures, telephone calls, follow-up service calls. Radio, television messages, newspaper and magazine advertising, website advertising and point of purchase display material play a role in business's plan to achieve its work objective. An Important aspect of external-operational communication is that it displays a company's image and its etiquette with respect to the environment and public. They take the place of human contact, and thus they have the effect of human contact. External - operational

communication facilitates managerial functions. It is through information exchange that the managers:

- (a) Become aware of the needs of customers.
- (b) The availability of suppliers.
- (c) The claims of stockholders.
- (d) The regulation of government.
- (e) The concerns of the community.

Personal Communication: Not all communication that occurs in a business organization is operational – dealing operation of the business objectives. In fact, much of the personal communication within an organization has no connection with the operation plan of business. Such communication is called as personal communication. Personal communication is the exchange of information and feeling in which human beings engage whenever they come together. We spend much time with friends is communication. Even total strangers are likely to communicate when they are placed together as on an airplane flight, in a waiting room or at a party. Such personal communication also occurs in workplace and it is a part of the communication activity of any business. The employees' attitude towards the business each other and their assignment directly affect their productivity. The nature of personal communication or conversation in a work place affects the attitude of a worker, which then affects his her performance. Furthermore the extent to which personal communication permitted within an

organization can also affect the attitude of the employees. Absolute denial of personal communication could upset the employees because the very need of human beings to communicate is denied. Personal communication does have its value in an organization. It has an emotive function. In other words, personal communication permits the expression of feeling of feeling and satisfaction of social needs, it may also help frustrations.

Communication Network of the Organization

All the forms of communication (internal, external and personal) indicate an extremely complex network of information flow. In today's world of business, information must flow faster than before. Another important element is the amount of information, which has greatly increased over the years, frequently causing an information overload. It is necessary to determine what kind of information the managers needs to have for effective decision making. Communication channels for the flow of information may be linked in a variety of way to form a communication networks. Business organizations have well-established channels of information flow. There are basically two types of communication network in an organization:

- The Formal Network
- The Informal Network

The Formal Network: As stated above that the formal communication network has to do with operational communication. In an effective organization communication flows in the following directions: Downward, Upward and Crosswise Communication.

a) **Downward Communication:** This is the flow of communication from people at higher level to those the lower level in the organizational hierarchy. This kind of communication implies the authoritarian structure of an organization. It is used for purpose as giving instruction-providing information about policies and procedures giving feedback about performance and indoctrinating or motivating. The kinds of media used for downward oral communication include instruction, speeches, meetings, the telephone and even the grapevine. Downward written communication takes the form of memos, letters, handbooks, pamphlets, policy statements, manuals, and so on.

b) **Upward communication:** This type of communication travels from subordinates to superiors and continues up the organizational hierarchy. Unfortunately, managers in the communication chain who filter the information- especially unfavorable messages to their superiors, often hinder this flow. Upward flow of communication is also useful in providing ideas for

improvement of activities and information about feelings on work. Upward communication is primarily non-directive and is usually found in participate and democratic organization environment. Techniques for upward communication-besides the chain of command - are suggestion system, appeal and grievance, complaint system, counseling sessions, joint setting of objective, the grapevine, group meetings, the practice of open-door policy, moral questionnaire, exit interviews and attitude survey. In recent years many companies have also set up system that give employees a confidential way to get a message to top management outside the normal chain of command. If an employee has a problem or an idea. Effective upward communication requires an environment in which subordinates feel free to communicate.

- c) **Crosswise Communication:** The form of communication includes the horizontal flow of information (among people on the same or similar organizational levels and the diagonal flow of information (among persons at different organizational levels who have no direct reporting relationships. This type of communication is used to speed information flow to improve understanding and to coordinate activities for the achievement of organizational objective. A great deal of communication does not follow the organizational hierarchy but cuts across the

chain of command. As organizations become more diversified and individual tasks become more specialized the need for communication increases. The organizational environment provides many occasions for crosswise oral communication. This kind of communication occurs when, individual of different departments are grouped into task tem or project organization. In addition crosswise written communication keeps people informed about the organization. These written forms include the company newspaper, magazine, or bulletin boards. Because information may not follow the normal chain of command, proper safeguard need to be taken to prevent potential problems.

The Informal Network: Formal organizational chart illustrates how information is supposed to flow. However in actual practice, chart cannot prevent people from talking with one another. In the management language it is called as “grapevine”. The informal network is not a single network but a complex relationship of smaller networks consisting of groups of people. The relationship is made even more complex by the fact that these people mat belong to more than one group and that group membership and the links between and among groups are continually changing. As people go about their work they have casual conversations with their friends in office. Although many of the conversations deal with

personal matters, business matters are also discussed. In fact 80% of the information that travels along the grapevine pertains to business. Grapevine usually carries far more information than the formal communication system. Keith Davis states: "People cannot resist the grapevine. It offers the latest news and usually that news is reasonably accurate. More of the news is about people, such as their friendship, conflicts and experiences. Since formal communication carries very little of this type of information we must listen to the grapevine in order to be fully informed. In addition much of the grapevine occurs by person-to-person contact which helps us become a part of social groups and receive social satisfaction."

Technology and Business Communication

Technology is developing so rapidly that what is new today become commonplace tomorrow and outdated the day after. The changes brought about by new technology are leading to an exciting new information age in which more people will have faster and broader access to data than ever before. Following are some of the major technologies that are being used in the world of business.

Telephones and Voice Mail: Telephones are not but new technology has extended the value to telephones. Voice mail is a computerized messages system a more sophisticated version of an answering machine. It allows

people to communicate by phone even when they cannot connect directly. The first impression people receive of a company comes from the telephone. Therefore skills are among the most important technological skills to be developed

Computer network: Only a few years ago each desktop computer stood alone and data were transferred on the disks. However, today desktop computers can communicate directly via computer network allowing information to be shared effortlessly. There are two types of network the local area network (LAN) that links users in a single office and the wide area network (WAN) that links remote users. The “information superhighways” which are such a popular topic these days are huge computer networks. At present the Internet is the only network big enough to be called an information superhighway. Internet users can exchange messages with other Internet users, access electronic database, and subscribe to electronic “news letters” on thousands of topic.

Electronic Mail: Electronic Mail (e-mail), the electronic transmission of messages from one person to another using computers has become commonplace in business. E-mail system has a significant influence on business communication. One of the advantages of the e-mail system is that it keeps the expenses of communication low. E-mail seems to have an interesting effect on organizations that use it for communication among

employees. In such organizations employees tend to send more messages to their co-workers and superiors than those organization that do not use e-mail system.

Electronic Bulletin Board: Electronic bulletin boards are computer system that allows the posting of information so it may be accessed and read by many other people. They disseminate information within a company to a broader audience. With a modem, someone with a computer can call up the bulletin board and seek information. Companies are using electronic bulletin boards to keep their employees informed about all kinds of things.

Teleconferencing and Videoconferencing: Teleconferencing allows groups who are geographically separated to meet via telephone and discuss issues. This is substituting the use of telephone to call a meeting. Since most of the executives spend at least half their time in meetings and travelling for meetings teleconferencing enables discussion over the telephone, which is more convenient and less expensive.

Videoconferencing is used for more formal meetings, especially in companies that have this facility. This type of conferencing is done via the video camera. It enables people to have the conference being in different geographical locations and yet seeing each other.

Telecommunication and Home Office: As technology makes it easier to communicate with people in other locations some employees have begun working from their homes. They may visit the home office periodically or send the product of their labour to their employers or clients electronically. Many companies are providing workers with computers and other equipment that enables them to work more efficiently at home. One advantage is that widely dispersed employees can be called on to react quickly during emergencies or to reach distant clients. Concern about traffic congestion, parking problem, office space, and personal preferences all contribute to the decision to allow telecommuting and home office.